Question 1

You are an audit senior working on the year-end audit of the financial statements of Chestnut Foodstuffs Limited (Chestnut) for the year ended 31 July 20X1. You are preparing to perform substantive analytical procedures over revenue.

Chestnut is a UK-based company that manufactures and sells a wide range of food additives, culinary powders, and yeasts to companies within the UK and the USA. Sales within the USA are all through Chestnut's US division, Chestnut USA.

The chief accountant, Michael Sim, has provided a breakdown of the different categories of revenue (Appendix 1). Your audit manager, Ellie Crawford, has also provided you with notes of a meeting with Michael which set out further information on the various categories of revenue during the year (Appendix 2).

Ellie has asked you to perform the substantive analytical review (SAR) to evaluate the reasonableness of the revenue figures. Based on this information, she would also like you to analyse the reasons for any variances between your expectations and the actual revenue for the year, for each category.

Tolerable error has been set at £45,000.

Question:

1. Perform a substantive analytical review to evaluate the reasonableness of the revenue reported for each category of revenue.

(24 marks)

2. Analyse the potential reasons for any variances between the expected and actual revenue reported for each category.

(20 marks)

(44 marks)

APPENDIX 1 – Breakdown of revenue with management notes provided by Michael Sim, chief accountant at Chestnut

Revenue category	Description of category	Note	Per draft financial statements year ended 31 July 20X1 £'000	Per audited financial statements year ended 31 July 20X0 £'000
Culinary powders	Manufactured to customers' specifications. Products include vinegars and sweetener powders.	1	32,011	35,349
Speciality flours	Designed to be used within bakery mixes and cereal bars and comprise gluten-free rice flours and rice products.	2	4,170	3,281
Taste masking	Products designed and manufactured for pharmaceutical companies to mask the unpleasant taste of their pills.	3	3,007	2,587
Yeast extracts	Manufactured for use by customers within the ready meal manufacturing sector and to minimise the use of salt in production.	4	14,701	14,362
Enzymes	Manufactured for use in human foods and animal feeds.	5	11,260	8,784
Chestnut USA	Limited range of culinary powders sold. All powders have been approved by the US Food and Drug Administration.	6	14,296	13,326 (US dollars $17,650)

Note:

1. Culinary powder prices were increased by an average of 2% on 1 January 20X1, due to increased raw material prices.
2. All prices of speciality flours increased by 5% on 1 August 20X0.
3. No price rise during the year. Overall sales volumes of taste masking products increased 15% year on year.
4. All prices of yeast extracts increased by 3% on 1 December 20X0.
5. No price rises of enzymes during the year. Sales volumes increased 20% year on year. A new enzyme product was launched in March 20X0.
6. Culinary powders sold through Chestnut USA had an average price rise of 4% from 1 January 20X1.

APPENDIX 2 – Notes of the meeting between Michael Sim and Ellie Crawford

Culinary powders

Sales to manufacturers of foodstuffs for the hospitality sector were 40% lower for the 6-month period to 31 January 20X1 than the same period in the previous year. Sales to these manufacturers were

£20.01m in the year to 31 July 20X0. The majority of sales from February were at 20X0 levels.

Although the average price rise was 2% across our range of 25 products, price increases varied from 1% to 7%. The biggest-selling ranges, which are to manufacturers for the hospitality sector, had price increases of 1%.

Speciality flours

Demand for speciality flours remains strong with many traditional bakery manufacturers offering gluten-free alternatives and, as a result, Chestnut was able to increase prices in August 20X0.

During May 20X1, following several months of negotiations, a new £3m supply contract was signed with South-East Bakeries Limited (South-East). In order to guarantee supply and to assist with Chestnut's scaling up of production capacity, South-East agreed to pay £250k per month from May over the 12-month contract period to enable it to have the flexibility to draw down its speciality flour when needed. This is the first such flexible contract Chestnut has entered into, and Michael highlighted that only £500k of speciality flour was supplied over the 3 months from May to July 20X1.

Taste masking

Taste masking revenue is ahead of the 20X1 budget due to increased demand for products used in over-the-counter painkillers.

An order of the company's 'gelmask' product was returned at the beginning of August 20X1 as it tested positive for contaminants on receipt by the customer. Gelmask is produced in large batches due to the expensive production costs and is sold to many customers. This is the first instance of contamination that management has been aware of since the company started selling this product. Review of the test results at Chestnut prior to dispatch indicated no contaminant but, on return, further tests carried out indicated some contamination and subsequently the batch was destroyed. A credit note was issued in mid-August for £106k.

Yeast extracts

Due to price competition within this market, on 1 May 20X1, Chestnut introduced, for the first time, a volume rebate scheme for all customers of yeast extracts. Rebates are calculated based on quarterly sales and are recognised on all sales over £125k within a quarter at two rates:

- 2% on sales of £125k-250k in a quarter
- 4% on any further sales above £250k in a quarter

Quarter 4 rebates have not yet been paid but are due on sales of £390k and £487k to Chestnut's customers, Quicky Meals Ltd and Readymade Desserts Ltd, respectively.

Enzymes

Enzymes revenue grew as customer demand has stayed strong for the company's existing products.

A new enzyme product was launched in March aimed at the animal feeds market. Unfortunately, total target sales of £1,850k for the new product were not achieved due to competitors lowering prices and only 35% of the target was expected to be achieved for the period to 31 July 20X1. This included a surge of sales recorded in July 20X1 following a new commission scheme introduced for the sales staff to increase revenue from this product.

Chestnut USA

Chestnut USA's transactions are recorded in US dollars (USD) within the general ledger and translated at the year end into British pounds (GBP) for reporting purposes, using the average rate for the year.

Michael provided a summary of the year-end exchange rates used by Chestnut in relation to its Chestnut USA sales. Year-end rates at 31 July 20X1, and the average rate for the year from a reliable third party, as provided by Ellie, are also shown for comparison:

Currencies	Chestnut closing rate as at 31 July 20X1 (Per Michael)	Chestnut average rate for the year to 31 July 20X1 (Per Michael)	Closing rate as at 31 July 20X1 (third party)	Average rate for the year to 31 July 20X1 (third party)
GBP £/USD $	1.28	1.26	1.30	1.26

Ellie also confirmed that the price increases noted by Michael have already been agreed to documentation approved by Chestnut's board of directors.

Question 2

You are an audit senior responsible for the audit of the financial statements of English Fresh Fruit & Veg Ltd (Fruit & Veg) for the year ended 31 October 20X5. You are about to commence the year-end audit of payroll costs.

Fruit & Veg buys fruit and vegetables produced from farms in Cambridgeshire and processes and packages these for distribution under its own premium brand or as supermarket own brands. The company has a large workforce and operates two different payrolls, one for weekly-paid factory staff and another for monthly-salaried office staff.

The audit planning and interim audit work is complete and from these, you have concluded that controls over payroll are robust. The planned audit approach for payroll is to perform a substantive analytical review (SAR). The tolerable error for the SAR is £20,000.

Your audit partner, Mark Anderson, has asked you to perform the SAR to evaluate the reasonableness of the total payroll cost for office staff and factory staff. He would like you to analyse the reasons for any differences between your expectations and the actual costs for the year.

To assist you, Alison Burgess, Fruit & Veg's financial controller, has provided extracts of management accounts for the year to 31 October 20X5 (Appendix 1). You have also met with Alison to discuss payroll costs and the notes of this meeting are provided in Appendix 2. You have already reviewed the prior year audit file and noted that the average annual factory staff wages were £17,541 per employee and the average annual office salary was £25,700 per employee. These figures were calculated and recorded during the 20X4 audit from the actual payroll reports.

Question:

As requested by Mark, prepare an audit work paper in which you:

1. Perform a substantive analytical review to evaluate the reasonableness of total payroll costs forthe year.

(17 marks)

2. Analyse the reasons for any variances between the expectations and actual expenses for the year.

(21 marks)

(38 marks)

APPENDIX 1

Extracts from management accounts of Fruit & Veg for year to 31 October 20X5

Payroll costs

	£
Factory wages	2,230,000
Salaries	665,300
Employer's national insurance	237,000
Pension costs	130,000
Total expense	**3,262,300**

Employee numbers

	Q1	**Q2**	**Q3**	**Q4**
As at date	**31 Jan X5**	**30 Apr X5**	**31 Jul X5**	**31 Oct X5**
Factory	112	92	110	131
Office	23	23	24	25

APPENDIX 2

Notes of meeting with Alison Burgess, financial controller, Fruit & Veg, on payroll costs

The overall success and growth of Fruit & Veg is reflected in increased staff costs.Key points:

- Salaried staff were awarded a 3% pay rise with effect from 1 February 20X5.
- Factory staff were awarded a 4% pay rise with effect from 1 February 20X5.
- The company continues to make contributions to the company pension plan at a rate of 5% of employee remuneration (excluding Christmas bonus) and all permanent employees are entitled to join the scheme.
- The employer's national insurance (NI) contribution was 13.8% of relevant earnings (excluding pension contributions) throughout the year.
- Christmas bonuses are paid to every staff member and are set at £100 per member of staff as inprior years.
- The average secondary threshold over 20X4/X5 and 20X5/X6 for Fruit & Veg was £9,100 as perHMRC. Employer's NI contributions recorded reflect that employer's NI is only payable for each employee on earnings above the secondary threshold.

In line with industry averages, factory staff turnover is high and staff numbers can vary month to month due to leavers and joiners. The company values long-term employees and any employees reaching 5 years' service are awarded a substantial long service bonus, which has proven a popular incentive to many factory staff. The number of employees reaching this milestone varies each year.

High customer demand in December 20X4 and January 20X5 led to a change in employee shift patterns, resulting in overtime payments being paid to many workers. There are various overtime rates up to 150% of normal hourly rates. For the year ended 31 October 20X4, minimal overtime payments were required.

In addition, the great summer weather of 20X5 significantly increased demand by customers, leading to increased production. The company employed a number of temporary casual workers on a short-term basis to meet business demands. When these workers were contracted at period ends, they were included in the factory employee numbers in the management accounts.

Against the many positive factors in the year, bad winter weather in November 20X4 caused severe disruption to raw material supplies and had an impact on the ability of our staff to get to work. As a result, production for a 2-week period reduced to 50% of normal levels, and staff time as recorded in the clocking-in recording system reduced accordingly.